— Chanticleer

Inflation miss is a reminder the RBA won't save this economy

Our obsession with the next move in rates is understandable, but we can't rely on the Reserve Bank to fix everything.



May 28, 2025 – 3.29pm

Whether Wednesday's slightly hotter-than-expected monthly inflation reading is enough to derail the July interest rate cut the market was expecting from the Reserve Bank will be a topic of hot debate in the coming days.

Although headline inflation of 2.4 per cent for April sat comfortably within the central bank's target band for price growth between 2 per cent and 3 per cent, the rise in the trimmed mean number for the month – from 2.7 per cent to 2.8 per cent – would appear to be mildly negative news for those banking on a July cut. [https://www.afr.com/link/follow-20180101-p5m2t2]



The national obsession over rates is misplaced. **David Rowe**

The RBA has projected that trimmed inflation in the June quarter will average 2.6 per cent, down from 2.9 per cent in the

March quarter. The April number is clearly heading in the wrong direction.

These monthly readings are notoriously volatile, so putting too much weight on them is silly. But if nothing else, the slightly elevated print should be a reminder to households, businesses, politicians and investors that the RBA's ability to revive economic growth is likely to be fairly limited, even if it delivers on the three cuts that most economists expect by the end of this calendar year, or in the first quarter of next year.

For all our endless obsession with the path of rates, the real problems facing Australia run much deeper and we need to stop pretending otherwise.

"The RBA is no longer where we should be focused," says HSBC chief economist Paul

Bloxham, who previously worked at the RBA. “Don’t expect the RBA to be able to do all the things we need to do to get the economy going.”

Bloxham spends a lot of his time trying to help HSBC’s globally focused business customers understand the big-picture shifts rattling markets and the world economy.

His key message right now is that the world has suffered an “uncertainty shock” since Donald Trump’s return to the White House, and that will inevitably spill over to global growth. Australia isn’t the biggest loser, but it’s unlikely to emerge unscathed, either – a lot depends on when, how and how much China stimulates its economy.

Equity market investors, who’ve fuelled an impressive rally in the past two months, appear to have become untethered from economic reality.

But Bloxham says what comes through clearly in these conversations is that Australian businesses are not overly worried about where interest rates are heading; the cost of capital does not appear to be a major constraint at present.

What businesses are worried about, he says, is the high level of political and geopolitical uncertainty that is having a tangible impact on decision-making and business investment.

They are worried about a regulatory burden that only seems to be growing. They are worried about the stickiness of costs; Bloxham points out that while inflation may be sitting at 2.4 per cent, wage growth is running at about 4.5 per cent, suggesting ongoing pressure on margins. And they are worried about productivity, including the industrial relations environment.

Bloxham's laundry list checks out from Chanticleer's conversations with the bosses of some of the country's biggest commercial banks, although the recent turmoil in bond markets – and the resultant pressure on bank funding costs that will eventually seep through the economy – has them a little more worried about the long-term outlook for capital costs than their clients appear to be.

But what's clear is that business banking customers aren't sweating on the next 25-basis-point move in the cash rate. They're far more worried about finding staff, reducing costs, planning in a deeply uncertain environment and figuring out where the next wave of growth comes from in an economy that feels like it's been strangled by red and green tape.

Productivity-sapping

regulation

Bankers have intimate knowledge of this. In the past six months alone, the sector has been hit by four new pieces of regulation, across privacy, anti-money laundering, scams and frauds, and operational risk management.

Given banks also face rising technology costs, rising wages (which some bosses fear will be pushed even higher by a financial sector union emboldened by Labor's big election win) and rising funding costs, it's no wonder we've seen half a dozen smaller lenders swallowed up in mergers or deals. Yes, banking is a highly regulated industry, but it's a little snapshot of the productivity-sapping regulation a sector can get stuck in.

Bloxham expects two more rate cuts this year, and another in the first quarter of 2026, taking the cash rate to 3.1 per cent early next

year. But he says this is nothing to get too excited about, because he's also reduced his estimate of the maximum rate that the Australian economy can grow at, which he now reckons is about 2 per cent given the productivity drought we find ourselves in.

And if recent history is anything to go by, a big chunk of that will continue to be driven by huge amounts of government spending, which has contributed 63 per cent of all Australia's economic growth since December 2019, and 53 per cent of all jobs over the same period.

Time and space to chase real reform

Shortly after the release of the latest inflation reading on Wednesday, Treasurer Jim Chalmers was again talking up Australia's ability to weather the global turmoil

unleashed by the Trump shock and he'll be no doubt comforted by the fact that the RBA can cut rates harder than is currently expected if a more severe global slowdown hits the local economy.

But it's Chalmers and Prime Minister Anthony Albanese who also need to step up. Having secured a strong electoral majority, they have the time and space to chase real reform and make good on their promise to restore the private sector to its rightful position as the key driver of the economy.

It's not surprising that the inflation data sent the ASX into reverse on Wednesday; having jumped to a three-month high in early trade after a very positive lead from Wall Street, the ASX 200 sunk into negative territory after lunch. [https://www.afr.com/markets/equity-markets/asx-to-rise-wall-st-lifts-on-eu-us-trade-hopes-consumer-data-20250528-p5m2r3]

Equity market investors, who've fuelled an impressive rally in the past two months, appear to have become untethered from economic reality.

Government spending may have helped Australia avoid a proper recession, but it hasn't prevented the ASX from becoming mired in a profit recession. We are about to record a third straight financial year in which earnings have gone backwards, and current projections for profit growth of 7 per cent in the 2026 financial year look aggressive to say the least, particularly if Bloxham's estimate of the maximum possible growth in this economy is right.

MST Marquee strategist Hasan Tevfik reckons the ASX 200 could be headed back below 7000 points [https://www.afr.com/link/follow-20180101-p5m2t9], which suggests a fall of 16.5 per cent from here. Given the role momentum and

superannuation flows have played in pushing the market higher in recent years, that may sound overly bearish.

But if the profit recession continues for a fourth straight year – a real possibility in Tevfik's view – then the local sharemarket is surely in line for a reality check.

RELATED



Interest rates [/topic/interest-rates-5yo]

Inflation data no barrier to another RBA rate cut

https://www.afr.com/policy/economy/inflation-data-no-barrier-to-july-rate-cut-20250528-p5m2t2



Sharemarket [/topic/sharemarket-61t]

ASX tipped to collapse 20pc as profit alarm bells ring

https://www.afr.com/markets/equity-markets/asx-tipped-to-collapse-20pc-as-profit-alarm-bells-ring-20250528-p5m2t9

James Thomson is senior Chanticleer columnist based in Melbourne. He was the Companies editor and editor of BRW Magazine. *Connect with James on Twitter. Email James at j.thomson@afr.com*